

Customer Retention & Churn Performance Report

Comprehensive Subscription, Engagement, and Strategic Analytics

To: Future Interns Evaluation Board
Prepared By: Muhammed Shuaib Adams
Date: May 1, 2026

1. Executive Summary

This document presents a data-driven analysis of customer retention within a subscription-based business model. By leveraging Python analytics, we have identified the primary drivers of customer churn and the critical segments where revenue leakage is most severe. These insights are intended to guide executive decision-making and optimize operational margins.

2. Retention Metrics & Trends

The organization is currently managing a significant churn risk within the active user base.

Metric	Value	Performance Note
Total Customers	7,032	Overall Base
Churned Customers	1,869	Current Revenue Leakage
Churn Rate	26.54%	High Risk Threshold

3. Key Retention Drivers

A significant portion of our churn is driven by contract structure and payment friction:

- **Contract Type:** Month-to-month plans show the highest instability.
- **Tenure:** The first 6 months serve as the "critical window" for drop-offs.
- **Payment Method:** Electronic Checks correlate with significantly higher churn.

4. Areas of Critical Concern

Urgent Strategy Review Required: The "Critical Window" & Manual Billing

While the overall business is functional, specific segments are actively eroding growth. Churn is most aggressive during the first 180 days of tenure. Electronic check users are operating at a churn risk nearly double that of automated users.

Recommendation: A thorough audit of the onboarding process and a shift toward automated billing structures must be initiated immediately.

5. Strategic Recommendations for Growth

To accelerate growth and maximize capital efficiency, we recommend the following strategic pivots:

1. **Restructure Contract Incentives:** Offer billing subsidies to transition customers from Month-to-month to 1-year plans.
2. **Targeted Retention Campaigns:** Launch initiatives specifically focused on moving high-risk users to automated billing to lift margins.
3. **Onboarding Optimization:** Implement a high-touch engagement strategy for customers in their first 6 months.